

Service Operations Overview



UNIT –I

Introduction: Introduction to the course, Introduction to service operations, Role of service ineconomy and society, Introduction to Indian service sector

Nature of Services and Service Encounters: Differences between services and operations, Servicepackage, characteristics, various frameworks to design service operation system, Kind of serviceencounter, importance of encounters

Service-Dominant Logic: From Goods-Dominant logic to Service-Dominant logic, Value Co-creation

Show moreShow less

UNIT – I: Introduction to Service Operations and Service-Dominant Logic

1. Introduction to Service Operations

Service operations refer to the activities, processes, and systems involved in delivering services to customers. Unlike manufacturing operations that produce tangible goods, service operations focus on providing intangible benefits and customer experiences.

A service is any activity or benefit offered by one party to another that is essentially intangible and does not result in ownership of anything. Examples include banking, healthcare, education, transportation, hospitality, insurance, and IT services.

Service operations management deals with planning, organizing, controlling, and improving service delivery systems to satisfy customers efficiently and effectively.

Objectives of Service Operations

- Deliver quality service to customers
- Ensure customer satisfaction
- Improve efficiency and productivity
- Reduce waiting time and operational cost
- Create competitive advantage
- Maintain consistency in service delivery

Examples of Service Operations

- Banking transactions
- Online food delivery
- Hospital patient care

- Railway reservation systems
 - Customer support centers
 - Hotel management
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2. Role of Service in Economy and Society

The service sector plays a vital role in modern economies and social development. It contributes significantly to employment, GDP, infrastructure, and quality of life.

Role in Economy

a) Contribution to GDP

The service sector contributes a major share to the Gross Domestic Product (GDP) of many countries. Industries like banking, IT, tourism, and telecommunications generate large revenues.

b) Employment Generation

Services create numerous job opportunities in:

- Education
- Healthcare
- Retail
- Hospitality
- Transportation
- IT and software industries

c) Support to Manufacturing

Services such as logistics, finance, marketing, and maintenance support manufacturing industries and improve their efficiency.

d) Foreign Exchange Earnings

Tourism, IT outsourcing, and consultancy services earn foreign exchange for countries.

e) Economic Growth

A strong service sector attracts investment and accelerates national economic development.

Role in Society

a) Improvement in Quality of Life

Healthcare, education, entertainment, and transportation services improve living standards.

b) Social Welfare

Public services such as banking, sanitation, and communication contribute to social welfare and development.

c) Connectivity and Communication

Telecommunication and internet services connect people globally and improve information sharing.

d) Convenience and Time Saving

Online shopping, e-banking, and digital services make daily life easier and faster.

3. Introduction to Indian Service Sector

The Indian service sector is one of the fastest-growing sectors of the Indian economy. It contributes more than half of India's GDP and provides employment to millions of people.

Major Components of Indian Service Sector

- Information Technology (IT)
- Banking and Financial Services
- Tourism and Hospitality
- Education
- Healthcare
- Transportation and Logistics
- Telecommunication
- E-commerce

Features of Indian Service Sector

- Rapid growth after economic liberalization
- High contribution to GDP
- Growth in digital services and startups
- Increase in outsourcing and IT-enabled services
- Expansion of online platforms and fintech

Importance of Indian Service Sector

- Generates employment
- Attracts foreign investment
- Enhances exports through IT services
- Improves infrastructure and communication
- Supports industrial growth

Challenges Faced

- Skill gap among workforce
- Unequal rural and urban service access
- Infrastructure limitations
- Increasing competition

4. Nature of Services and Service Encounters

Differences Between Services and Manufacturing Operations

Basis	Services	Manufacturing
Nature	Intangible	Tangible
Ownership	No ownership transfer	Ownership transferred
Production & Consumption	Simultaneous	Separate
Customer Involvement	High	Low
Inventory	Cannot be stored	Can be stored
Quality Measurement	Difficult	Easier

5. Service Package

A service package is a bundle of goods and services provided together to create customer value.

Components of Service Package

a) Supporting Facility

Physical resources needed before service delivery.

Example:

- Hospital building
- Hotel room

- Classroom

b) Facilitating Goods

Goods consumed or used by customers.

Example:

- Food in restaurants
- Medicines in hospitals

c) Explicit Services

Observable benefits received by customers.

Example:

- Medical treatment
- Transportation

d) Implicit Services

Psychological benefits or feelings.

Example:

- Comfort
 - Safety
 - Hospitality
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6. Characteristics of Services

a) Intangibility

Services cannot be touched or physically possessed.

Example:

- Education
- Insurance

b) Inseparability

Production and consumption occur simultaneously.

Example:

- Haircut service

c) Perishability

Services cannot be stored for future use.

Example:

- Empty airline seats cannot be saved

d) Variability (Heterogeneity)

Service quality may differ depending on provider and situation.

Example:

- Different customer experiences in hotels

e) Customer Participation

Customers are often involved in service delivery.

Example:

- Self-service restaurants
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7. Frameworks to Design Service Operation System

A service operation system is designed to ensure efficient service delivery.

Common Frameworks

a) Service Blueprinting

A visual representation of service processes showing customer interaction and backend activities.

b) Service Delivery System

Focuses on:

- People
- Technology
- Process
- Infrastructure

c) Front Office and Back Office Model

- Front Office: Direct customer interaction

- Back Office: Internal support activities

d) Queue Management System

Used to reduce waiting time and improve customer satisfaction.

8. Kind of Service Encounter

A service encounter is the interaction between customer and service provider.

Types of Service Encounters

a) Remote Encounter

No physical interaction.

Example:

- Online banking
- Automated customer support

b) Phone Encounter

Interaction through telephone.

Example:

- Call centers

c) Face-to-Face Encounter

Direct physical interaction.

Example:

- Restaurant service
 - Hospital consultation
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9. Importance of Service Encounters

Service encounters strongly influence customer satisfaction and loyalty.

Importance

- Creates first impression
- Builds customer relationships
- Increases customer satisfaction

- Enhances company image
- Encourages repeat business
- Helps in understanding customer needs

A positive service encounter improves customer trust and brand reputation.

10. Service-Dominant Logic (SDL)

Service-Dominant Logic is a modern marketing and business philosophy that views service as the fundamental basis of exchange.

It emphasizes that value is created through interaction between provider and customer rather than through products alone.

11. From Goods-Dominant Logic to Service-Dominant Logic

Goods-Dominant Logic (GDL)

Traditional business approach where:

- Goods are central
- Value is embedded in products
- Customers are passive buyers

Features

- Focus on manufacturing
- Tangible products dominate
- Producer creates value

Example:

A company manufactures a mobile phone and sells it to customers.

Service-Dominant Logic (SDL)

Modern approach where:

- Service is central
- Value is co-created
- Customers actively participate

Features

- Focus on customer experience
- Interaction and relationship are important
- Knowledge and skills create value

Example:

A smartphone company providing software updates, cloud storage, and customer support continuously creates value with customers.

12. Value Co-Creation

Value co-creation means value is jointly created by the company and customers through interaction, participation, and experience.

Customers are not passive receivers; they actively contribute to the service process.

Characteristics of Value Co-Creation

- Customer participation
- Interaction between provider and consumer
- Shared experiences
- Continuous feedback
- Personalized solutions

Examples

- Customers customizing food orders online
- Users creating content on social media
- Online learning platforms with student interaction
- Open-source software development

Benefits

For Customers

- Better experience
- Personalized services
- Increased satisfaction

For Companies

- Strong customer relationships

- Innovation through feedback
 - Competitive advantage
 - Higher customer loyalty
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Conclusion

Service operations are essential for modern businesses and economies. The service sector contributes significantly to economic growth, employment, and societal welfare. Understanding the nature of services, service encounters, and service operation systems helps organizations deliver better customer experiences. The transition from Goods-Dominant Logic to Service-Dominant Logic highlights the importance of customer participation and value co-creation in today's service economy.